KRISTIAN CUKU · THE DEAL ARCHITECT

Before you **sign the SPA.**

10 points to check first.

The SPA usually arrives only after you've paid **20% + 4%.**
Read this before you pay anything.



Built from a structured analysis of real Dubai off-plan SPAs.
Each point: what to look for · why it matters · what to ask.

Educational guide. Not legal advice.

POINT 01

RISK

LOW WATCH HIGH

Entire Agreement

The clause that erases the brochure.

TYPICAL WORDING

26. ENTIRE AGREEMENT

This Agreement constitutes the entire agreement between the Parties and supersedes all prior representations, brochures, marketing materials, advertisements, booking forms and correspondence, whether written or oral, relating to the Unit.

→ *what you were shown before paying has no contractual weight.*

WHAT IT DOES

Brochures, renders, show units and sales promises stop counting the moment you sign. Only the SPA does.

WHY IT MATTERS

You decide based on the brochure. You are bound by the SPA. And the SPA usually arrives after you have paid 20% + 4%.

ASK BEFORE YOU SIGN

1. **Can I see the blank draft SPA before paying the booking?**
2. **Can the promises that matter to me (specs, view, amenities, handover date) be written into the SPA?**

Educational guide. Not legal advice.

POINT 02

When you get the SPA

RISK

LOW WATCH HIGH

You pay first. You read later.

TYPICAL WORDING

3. EXECUTION OF AGREEMENT

The Seller shall issue this Agreement to the Purchaser upon receipt of twenty percent (20%) of the Purchase Price together with the DLD registration fees. The Reservation Form shall remain binding until this Agreement is executed.

→ *your negotiating position ends where the payment starts.*

WHAT IT DOES

The full contract reaches you only after 20% of the price plus the 4% registration fee has been paid. The booking form keeps you bound in the meantime.

WHY IT MATTERS

By the time you read the terms, walking away already costs money. Every clause becomes harder to question.

ASK BEFORE YOU SIGN

1. **Can I receive the blank draft SPA before I pay the booking?**
2. **Is the booking refundable if I do not accept the SPA terms?**

POINT 03

RISK

LOW WATCH HIGH

Cancellation

What a missed payment can cost.

TYPICAL WORDING

18. PURCHASER DEFAULT

Should the Purchaser fail to pay any instalment when due, the Seller may terminate this Agreement and retain up to forty percent (40%) of the Purchase Price, in addition to any other amounts due under this Agreement.

→ *one late instalment can turn into a loss of 40% of the price.*

WHAT IT DOES

If you fall behind, the developer can terminate and keep a large part of what you paid. Dubai law sets limits that depend on how complete the project is.

WHY IT MATTERS

Off-plan payments run for years. Jobs, markets and currencies change. This clause decides what happens to your money if your plans do.

ASK BEFORE YOU SIGN

1. **How much notice and time to fix a late payment do I get before termination?**
2. **Is the amount retained limited to what the law allows at each stage of completion?**

Educational guide. Not legal advice.

POINT 04

RISK

LOW WATCH HIGH

Handover delays

The date that can move. Without you.

TYPICAL WORDING

9. COMPLETION DATE

The Seller may, at its discretion, extend the Anticipated Completion Date by a period of up to twelve (12) months, and the Purchaser shall have no claim for compensation or damages arising from such extension.

→ *your rent, your mortgage, your plans: all yours to absorb.*

WHAT IT DOES

The handover date in the brochure is an estimate. The developer can push it back, often by a year or more, with nothing owed to you.

WHY IT MATTERS

If you planned to move in, rent out or resell on a date, every month of delay is a cost you carry alone.

ASK BEFORE YOU SIGN

1. **Is there compensation if handover is late beyond the extension?**
2. **At what point of delay can I terminate and get my money back?**

Educational guide. Not legal advice.

POINT 05

RISK

LOW WATCH HIGH

Late payment interest

Your delay has a price. Theirs often does not.

TYPICAL WORDING

7. LATE PAYMENT

Any amount not paid by its due date shall bear interest at the rate of two percent (2%) per month from the due date until the date of actual payment.

→ *2% a month is about 24% a year.*

WHAT IT DOES

Every late instalment starts costing interest immediately, at a rate far above any bank loan.

WHY IT MATTERS

The clause usually runs one way: you pay for your delay, while the developer's delay is covered by the extension clause.

ASK BEFORE YOU SIGN

1. **Is there a grace period before interest starts?**
2. **Is there a matching compensation if the developer is late?**

POINT 06

RISK

LOW WATCH HIGH

Area tolerance

Five percent smaller. Same price.

TYPICAL WORDING

5. AREA VARIATION

No adjustment to the Purchase Price shall be made where the final area of the Unit, as measured by the Seller's surveyor, varies by up to five percent (5%) from the area stated in this Agreement.

→ *the one who measures is the one who benefits.*

WHAT IT DOES

Your unit can be up to 5% smaller than agreed with no change in price. On a AED 2,000,000 unit, that is up to AED 100,000 of space.

WHY IT MATTERS

The measurement is often done by the developer's own surveyor, and the tolerance may only work in one direction.

ASK BEFORE YOU SIGN

1. **Who measures the final area, and can I appoint an independent surveyor?**
2. **Does the price adjust in both directions above 5%?**

Educational guide. Not legal advice.

POINT 07

RISK

LOW WATCH HIGH

Specifications

The finishes you chose can change.

TYPICAL WORDING

11. SPECIFICATIONS

The Seller reserves the right to substitute any materials, fixtures, fittings or finishes with others of similar or equivalent quality, as determined by the Seller.

→ *"equivalent" is decided by the side that saves money.*

WHAT IT DOES

Kitchen, flooring, bathroom fittings and appliances can be replaced with alternatives the developer considers equivalent.

WHY IT MATTERS

Finishes are part of why you chose the unit and part of its resale value. The definition of "equivalent" is not yours.

ASK BEFORE YOU SIGN

1. **Can the specification list be attached to the SPA as an annex?**
2. **Who decides what is "equivalent", and can I object?**

Educational guide. Not legal advice.

POINT 08

Snagging

Who writes the defect list.

RISK

LOW WATCH HIGH

TYPICAL WORDING

14. HANDOVER AND DEFECTS

The Purchaser shall notify the Seller of any defects within fourteen (14) days of the handover notice, failing which the Unit shall be deemed accepted in its condition.

→ *silence counts as a signature.*

WHAT IT DOES

You have a short window to report defects. After that, the unit is treated as accepted as it is.

WHY IT MATTERS

Two weeks is not much time to inspect a new unit properly, especially from abroad.

ASK BEFORE YOU SIGN

1. **How many days do I have to report defects, and can it be extended?**
2. **Can I bring an independent snagging inspector before accepting?**

POINT 09

RISK

LOW WATCH HIGH

Escrow

Where your money actually goes.

TYPICAL WORDING

4. PAYMENTS

All payments under this Agreement shall be made to the Project Escrow Account opened in accordance with the applicable laws of the Emirate of Dubai.

→ *check the account. every single payment.*

WHAT IT DOES

Payments for off-plan projects in Dubai must go into a regulated escrow account for that project, released as construction progresses.

WHY IT MATTERS

The protection only works if your money actually lands there. Booking fees and instalments paid elsewhere sit outside it.

ASK BEFORE YOU SIGN

1. **Is the escrow account in the SPA the one registered for this project?**
2. **Will every payment, including the booking, go to that account?**

Educational guide. Not legal advice.

POINT 10

RISK

LOW WATCH HIGH

Early resale

Before handover, your exit has conditions.

TYPICAL WORDING

21. ASSIGNMENT

The Purchaser may not assign or transfer this Agreement before paying at least forty percent (40%) of the Purchase Price and obtaining the Seller's prior written consent, subject to the payment of an administrative fee.

→ *you can sell only when, and if, they agree.*

WHAT IT DOES

Selling before handover usually needs a minimum paid percentage, the developer's approval and a fee.

WHY IT MATTERS

If your plan is to resell before completion, these three conditions decide whether that plan is possible at all.

ASK BEFORE YOU SIGN

1. **From which paid percentage can I resell, and what is the fee?**
2. **Can consent be refused, and on what grounds?**

WHAT TO DO NEXT

Three steps.

Before any payment.

01 **Ask for the blank draft SPA.**

Before the booking. If they hesitate, that is information too.

02 **Read it against these 10 points.**

Mark every clause where the answer to "ask before you sign" is unclear.

03 **Send me the clause you are unsure about.**

Reply in our chat. I will tell you what it means in plain words.

I spent years on the broker's side of these contracts.
Now I read them for the buyer.

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